

Value-Investing Workflow

Built from the model's actual scoring weights — Moat 40% / Quality 20% / Valuation 20% / Ownership 15% / Growth 5% — and the fields rendered in templates/report.html.

Stage 0 — Pre-screen (kill in 60 seconds)

Open the report and check these three first. Any single fail → stop.

- ☐ Fraud / distress filter: `beneish_flag` is False AND `altman_z` ≥ 2.99
- ☐ Confidence floor: `_mc_confidence_label` $\neq$ LOW (`mc_cv` $< 40\%$)
- ☐ EDGAR data integrity: `edgar_quality_score` ≥ 80 and `edgar_fields_flagged` is empty for revenue / net income

Stage 1 — MOAT (40% weight, the most important block)

A value buy with no moat is a value trap. Need 3 of 4 to pass.

- ☐ `roic_cv` $< 30\%$ (consistency — the single best moat proxy in this model)
- ☐ `spread` (ROIC – WACC) $> 7\%$
- ☐ `gross_margin_avg_5y` $> 35\%$ (pricing power)
- ☐ `fcf_margin` $> 12\%$ (capital efficiency)

Supporting context (read, don't gate):

- ☐ Scan `roic_by_year` chart — trend flat/up, or eroding?
- ☐ `pp_margin_advantage` positive vs `_sector_median_opm`
- ☐ `pp_sector_hhi` / `pp_sector_cr4` — concentrated industry favors incumbents

Stage 2 — QUALITY (20% weight, earnings must be real)

Need 4 of 5 to pass. These confirm reported numbers aren't manufactured.

- ☐ `cash_conv` ≥ 0.85 (cash backs earnings)
- ☐ `accruals` absolute value $< 8\%$ (low working-capital games)
- ☐ `int_cov` $> 3\times$ (debt service safe)
- ☐ `nd_ebitda` $\leq 1.5\times$ (leverage discipline)
- ☐ `piotroski` $\geq 7 / 9$

Red-flag escalation (one failure → re-read the 10-K notes):

- ☐ `sbc_pct_rev` $> 2\%$ — dilution headwind
- ☐ `goodwill_pct` rising — acquisition-driven “growth”

Stage 3 — OWNERSHIP & CAPITAL ALLOCATION (15% weight)

Capital allocation tells you whether management is on your side.

- ☐ `insider_pct` $\geq 5\%$ (skin in the game)
- ☐ `shareholder_yield` $> 2\%$ (dividends + net buybacks)
- ☐ `shares_cagr_5y` < 0 (count is shrinking, not growing)
- ☐ `sbc_pct_rev` $\leq 2\%$ (buybacks aren't just offsetting dilution)
- ☐ Form 4 panel: `insider_buy_count_90d` $\geq$ `insider_sell_count_90d` OR `insider_net_value` ≥ 0
- ☐ `founder_led` is True → bonus signal, not required

Stage 4 — VALUATION (20% weight, only after 1-3 pass)

Don't anchor on price first. Most value traps clear this stage but fail moat/quality.

Primary gates (need 3 of 4):

- ☐ $mos > 10\%$ (DCF margin of safety)
- ☐ $_price_fv$ ($price / dcf_fv$) < 1.0
- ☐ $pfcf$ between $8\times$ and $20\times$
- ☐ $pb \leq 5\times$

Cross-checks (concordance check, not gate):

- ☐ epv_fv and rim_fv within $\pm 25\%$ of dcf_fv — divergence means assumptions are doing the heavy lifting
- ☐ Reverse DCF: $implied_growth < \text{your honest forecast for the business}$
- ☐ If dividend payer: $ddm_eligible$ True AND ddm_fv corroborates DCF
- ☐ mc_p10_fv (10th percentile) still above current price — downside FV still favorable

Stage 5 — GROWTH (5% weight, least important, but a tiebreaker)

- ☐ $rev_cagr_10y > 2\%$ (no secular decline)
- ☐ $fcf_cagr_5y > 5\%$
- ☐ $gross_margin_trend \geq 0$ (not eroding)
- ☐ $fundamental_growth$ ($reinvestment \times ROIC$) $> 3\%$ — the only growth number that ties to capital allocation

Stage 6 — Composite & Decision

- ☐ $_composite_score \geq 60 \rightarrow \text{BUY band}; 40-59 \rightarrow \text{LEAN BUY}; < 40 \rightarrow \text{PASS}$
- ☐ $_gates_passed$ count $\geq 15 / 23$ (sanity-check vs composite — they should agree)
- ☐ No $thesis_breaker$ flag from `narrative.py`
- ☐ Macro regime ($macro_regime$) not hostile for the sector — if it is, halve position size

Position sizing (model already computes this in `portfolio.py`):

- ☐ $Weight = MoS \times MC \text{ confidence} \times composite/100$, clamped 1-8%
- ☐ Check $concentration_flag$ and sector HHI before adding

Stage 7 — Ongoing monitoring (per holding, monthly)

The `portfolio_tracker.py` module already produces these alerts — just act on them.

- ☐ $rating_change_alert$ fires $\rightarrow$ re-run full checklist
- ☐ $thesis_break_alert$ fires $\rightarrow$ exit unless you can defend the original thesis in writing
- ☐ $price_alert$ (drawdown) $\rightarrow$ check moat metrics first; price drops with intact moat = add, with eroding ROIC = trim
- ☐ Quarterly: rerun and watch $roic_by_year$, $gross_margin_trend$, sbc_pct_rev , $shares_cagr_5y$ — these are the slow leaks

Priority cheat-sheet (when time-boxed)

If you only get 5 minutes per name, look at these in order:

- ☐ 1. roic_cv and spread — is there a moat?
- ☐ 2. cash_conv and accruals — are earnings real?
- ☐ 3. mos and _price_fv — am I being paid to take the risk?
- ☐ 4. insider_pct and shareholder_yield — is management aligned?
- ☐ 5. _composite_score — does the model agree?

Everything else is supporting evidence.